Last, there are times when long-term interest rates are abnormally low. During these periods, we know that Buffett is more cautious and likely adds a couple of percentage points to the risk-free rate to reflect a more normalized interest rate environment.

Despite Buffett's claims, critics argue that estimating future cash flow is tricky, and selecting the proper discount rate can leave room for substantial errors in valuation. Instead, these critics have employed various shorthand methods to identify value. Some—those we call "value investors"—use low price-to-earnings ratios, low price-to-book values, and high dividend yields. They have vigorously back-tested these ratios and concluded that success can be had by isolating and purchasing companies with exactly these accounting ratios. Others claim to have identified value by selecting companies with above-average growth in earnings; they are customarily called "growth investors." Typically, growth companies possess high price-to-earnings ratios and low dividend yields—the exact opposite of what value investors look for.

Investors who seek to purchase value must often choose between the "value" and "growth" approaches. Buffett admits that years ago he participated in this intellectual tug-of-war. Today, he thinks the debate between these two schools of thought is nonsense. Growth and value investing are joined at the hip, he says. Value is the discounted present value of an investment's future cash flow; growth is simply a calculation to determine value.

Growth in sales, earnings, and assets can either add to or detract from an investment's value. Growth can add to the value when the return on invested capital is above average, thereby assuming that when a dollar is being invested in the company, at least one dollar of market value is being created. However, growth for a business earning low returns on capital can be detrimental to shareholders. For example, the airline business had been a story of incredible growth, but its inability to earn decent returns on capital has left most owners of these companies in a poor position.

All the shorthand methods—high or low price-to-earnings ratios, price-to-book ratios, and dividend yields, in any number of combinations—fall short. Buffett sums it up for us: Whether "an investor is indeed buying something for what it is worth and is therefore truly operating on the